



NSW Education Standards Authority

2021 HIGHER SCHOOL CERTIFICATE EXAMINATION

Economics

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 100

Section I – 20 marks (pages 2–8)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II – 40 marks (pages 9–20)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks (pages 21–23)

- Attempt either Question 25 or Question 26
- Allow about 35 minutes for this section

Section IV – 20 marks (page 24)

- Attempt either Question 27 or Question 28
- Allow about 35 minutes for this section

Section I

20 marks

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1–20.

- 1** What is a role of the World Trade Organisation?
- A. To resolve trade disputes
 - B. To provide low interest loans
 - C. To set tariff rates and subsidy levels
 - D. To organise countries into trading blocs
- 2** A hypothetical economy has a small population, a wide export base and a high per capita income.
- How would this economy be classified?
- A. Emerging
 - B. Advanced
 - C. Developing
 - D. Economic forum
- 3** Which of the following is NOT contained in the National Employment Standards?
- A. Annual leave
 - B. Public holidays
 - C. National minimum wage
 - D. Requests for flexible working arrangements

- 4 A government budgets for a deficit but then there is an unexpected decrease in the level of economic activity.

Which row of the table shows the most likely change in tax revenue and the deficit that results?

	<i>Tax revenue</i>	<i>Deficit</i>
A.	Fall	Increase
B.	Fall	Decrease
C.	Rise	Increase
D.	Rise	Decrease

- 5 Which of the following reflects deliberate changes in fiscal policy?

- A. Cyclical component
- B. Structural component
- C. Headline cash balance
- D. Underlying cash balance

- 6 The Gini coefficient of a hypothetical economy has changed from 0.2 to 0.3.

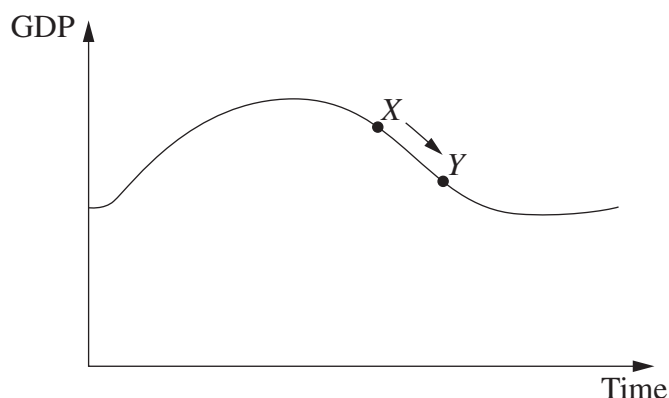
An increase in which of the following is most likely to have caused this?

- A. The tax-free threshold
- B. A tax on consumption
- C. Business spending on training
- D. Government spending on welfare

- 7 Which of the following is a correct statement about an automatic stabiliser?

- A. An increase in marginal income tax rates slows economic growth.
- B. An increase in infrastructure spending increases economic growth.
- C. A reduction in unemployment benefit rates slows economic growth.
- D. Taxpayers moving into higher tax brackets slows economic growth.

- 8 Which of the following would lead to an increase in free trade?
- Decrease in export incentives and increase in tariffs
 - Increase in export incentives and decrease in subsidies
 - Increase in size of existing quotas and decrease in tariffs
 - Decrease in size of existing quotas and decrease in subsidies
- 9 A hypothetical economy has moved from a Current Account Deficit to a Current Account Surplus.
- Which of the following is most likely to explain this?
- A decrease in net saving and depreciation of the currency
 - A decrease in the price of imports and depreciation of the currency
 - An increase in export prices and an increase in debt servicing costs
 - An increase in business investment and a decrease in portfolio investment
- 10 The graph shows the business cycle for an economy.



Which row of the table shows the combination of changes that would most likely move GDP from X to Y?

	<i>Taxation</i>	<i>Cash rate</i>
A.	Rise	Fall
B.	Fall	Fall
C.	Fall	Rise
D.	Rise	Rise

- 11 The table shows data for a hypothetical economy.

<i>Year</i>	<i>Consumer Price Index (CPI)</i>
1	130
2	140
3	148

What is the inflation rate for Year 3?

- A. 5.4%
 - B. 5.7%
 - C. 6.2%
 - D. 8.0%
- 12 In a hypothetical economy, there is an increase in the marginal propensity to save (MPS).

Which row of the table shows the likely effects on both the national income and the simple multiplier?

	<i>National income</i>	<i>Simple multiplier</i>
A.	Increased	Increased
B.	Increased	Decreased
C.	Decreased	Increased
D.	Decreased	Decreased

- 13 Which of the following statements is most correct in relation to public goods?

- A. Each additional user of a public good affects the amount available to others.
- B. Private companies supply public goods because they make a profit from them.
- C. Anyone can benefit from using public goods without paying directly for them.
- D. Low income earners are disadvantaged because they cannot afford public goods.

- 14** Migrant workers in Australia often send money back to their families overseas.

How is this recorded in Australia's Current Account?

- A. Primary Income debit
 - B. Primary Income credit
 - C. Secondary Income debit
 - D. Secondary Income credit
- 15** Which of the following is most likely to cause an increase in both the participation rate and the unemployment rate?
- A. An increase in the minimum wage
 - B. An increase in government spending
 - C. An increase in hidden unemployment
 - D. An increase in the age of school leavers
- 16** A new tollway eliminates 24 sets of traffic lights.

Which of the following is NOT an externality as a result of the new tollway?

- A. More noise pollution
- B. More traffic on local streets
- C. Increased value of nearby land
- D. Decreased travel times for users

- 17 The table shows data for a hypothetical economy.

	<i>Labour force</i> (million)	<i>Part-time employed</i> (million)	<i>Unemployed</i> (million)	<i>Working-age population</i> (million)
Year 1	13.6	2.7	2.5	25
Year 2	14.3	2.9	2.3	26

Which of the following best describes the changes to the unemployment rate and the participation rate from Year 1 to Year 2?

	<i>Unemployment rate</i>	<i>Participation rate</i>
A.	Decreased	Increased
B.	Increased	Decreased
C.	Decreased	Decreased
D.	Increased	Increased

- 18 The table shows Balance of Payments data for a hypothetical economy.

<i>Balance of Payments category</i>	\$ billion
Imports of goods and services	\$110
Exports of goods and services	\$125
Net Primary Income	−\$30
Net Secondary Income	−\$20
Capital Account	−\$45
Financial Account	Z

What is the value of the Balance of Goods and Services (BOGS) and the value of Z?

	<i>BOGS</i>	<i>Z</i>
A.	−\$15	−\$95
B.	−\$15	\$80
C.	\$15	−\$95
D.	\$15	\$80

- 19** A hypothetical economy is operating under a managed exchange rate. The exchange rate is to be maintained between \$0.60–\$0.70 USD. There has been an increase in demand for the domestic currency leading to its value moving outside the central bank’s range.

How should the central bank intervene to move the exchange rate towards its range?

- A. Increase cash rate to appreciate the currency
- B. Decrease cash rate to depreciate the currency
- C. Sell foreign currency to appreciate the currency
- D. Buy domestic currency to depreciate the currency

- 20** The table shows data for a hypothetical economy.

	<i>Nominal Gross Domestic Product (GDP) (\$bn)</i>	<i>Consumer Price Index (CPI)</i>
Year 1	200	100
Year 2	250	115
Year 3	300	125

What is the real economic growth rate for this economy in Year 3?

- A. 8.7%
- B. 9.6%
- C. 10.4%
- D. 20%

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Centre Number

Economics

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Student Number

Section II Answer Booklet

40 marks

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Instructions

- Write your Centre Number and Student Number at the top of this page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- Extra writing space is provided at the back of this booklet. If you use this space, clearly indicate which question you are answering.

Please turn over

Question 21 (10 marks)

- (a) Outline ONE influence of the G20 on the global economy.

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- (b) Distinguish between *trading blocs* and *monetary unions*.

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Question 21 continues on page 11

Do NOT write in this area.

Question 21 (continued)

- (c) Evaluate strategies used to promote economic development in an economy other than Australia.

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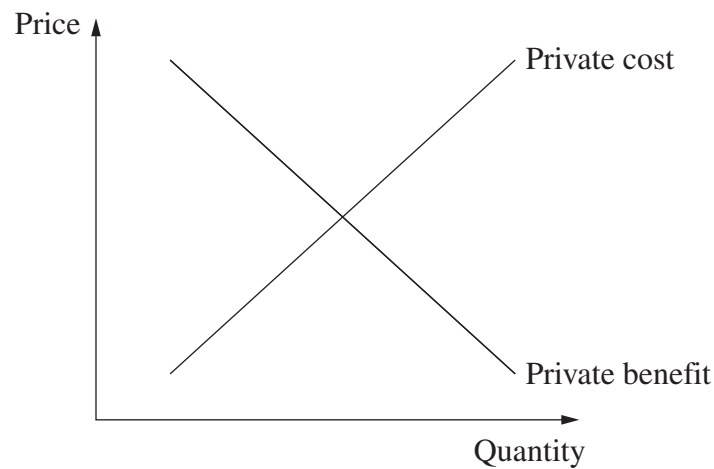
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End of Question 21

Question 22 (10 marks)

- (a) The diagram shows the private costs and private benefits of producing plastic bottles.

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On the diagram, draw the curve that would include the total cost to society of producing these bottles.

- (b) Explain how ONE market-based policy can affect environmental sustainability in Australia. Support your answer with an example.

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Question 22 continues on page 13

Question 22 (continued)

- (c) Explain the limitations of economic policies in relation to Australia's ability to achieve environmental sustainability.

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End of Question 22

Question 23 (10 marks)

- (a) Outline the impact of an increase in the minimum wage on cost inflation.

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- (b) Explain the effects of low inflation on the Australian economy.

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Question 23 continues on page 15

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Question 23 (continued)

- (c) How can microeconomic policies reduce the non-accelerating inflation rate of unemployment (NAIRU)? Support your answer with an Australian example.

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End of Question 23

Question 24 (10 marks)

- (a) Outline how an increase in protectionist policies in the global economy could affect the demand for the Australian dollar. **2**

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- (b) Explain how the Australian dollar can both appreciate against the US dollar and depreciate against the trade weighted index at the same time. **3**

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Question 24 continues on page 17

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Question 24 (continued)

- (c) Analyse the effects of an appreciation of the Australian dollar on the Australian economy.

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End of Question 24

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Economics

Section III

20 marks

Attempt either Question 25 or Question 26

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

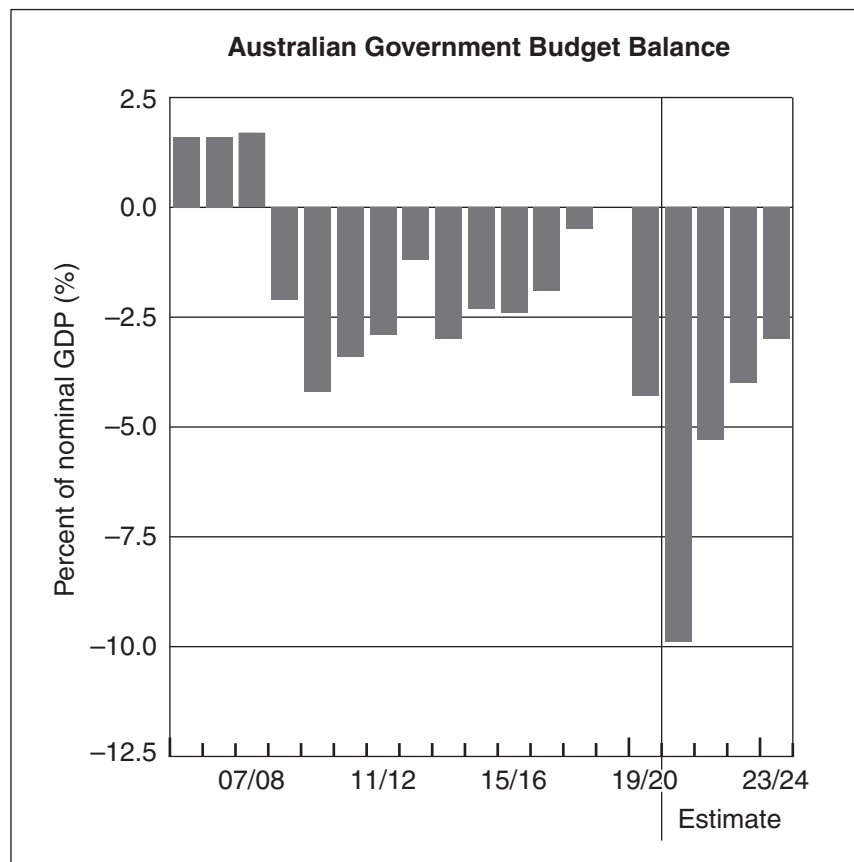
Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - use the information provided
 - apply relevant economic terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Please turn over

Question 25 (20 marks)

Evaluate the effectiveness of Australia's fiscal policy in managing unemployment, income distribution and external stability. In your answer, refer to the information provided.



Reserve Bank of Australia 2021

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The Government's economic response was designed to support Australian households and businesses through an exceptionally difficult period. It has helped keep businesses in business and Australians in jobs through the JobKeeper Payment and Boosting Cash Flow for Employers, and supported Australians in need with the Coronavirus Supplement and Early Release of Superannuation.

The Government's response is now transitioning to ensure the Australian economy recovers strongly by targeting additional temporary support measures to boost household incomes, bring forward business and infrastructure investment activity, and drive the unemployment rate back down.

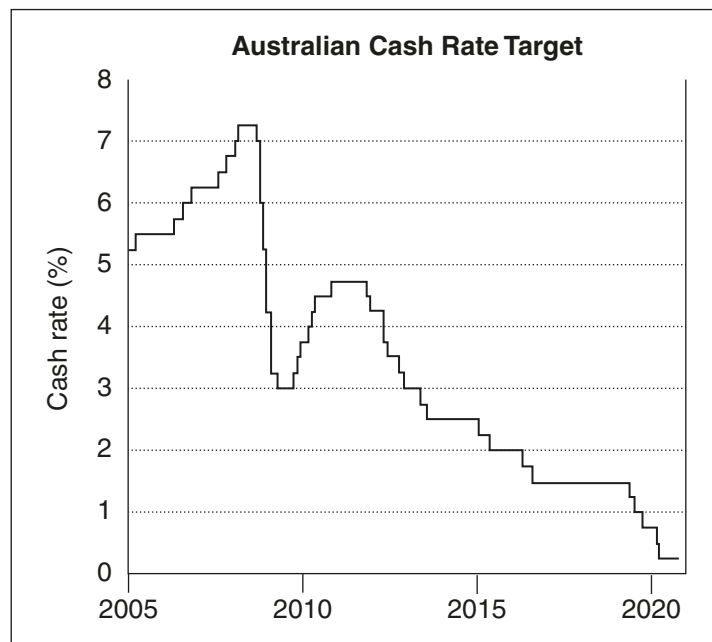
Australian Federal Budget 2020–21

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OR

Question 26 (20 marks)

Evaluate the effectiveness of Australia's monetary policy in managing economic growth, income distribution and external stability. In your answer, refer to the information provided.



Reserve Bank of Australia 2020

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The Reserve Bank Board reduced the cash rate twice in March 2020, to 0.25 per cent, and to 0.1 per cent on 3 November 2020. This is boosting the cash flow of businesses and the household sector as a whole. It is also helping Australia's trade-exposed industries through the exchange rate. At the same time, low interest rates do have negative consequences for some people, especially those relying on interest income. The Reserve Bank Board has discussed these consequences, but the evidence is that lower interest rates do benefit the community as a whole.

Reserve Bank of Australia 2020

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Please turn over

Section IV

20 marks

Attempt either Question 27 or Question 28

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant economic information, terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Question 27 (20 marks)

Assess the effects, over the last ten years, of free trade agreements and protectionist policies on the global economy.

OR

Question 28 (20 marks)

Assess the effects, over the last ten years, of changes in the global economy on Australia's trade and financial flows.

End of paper